



DEVELOPMENTAL IMPACT FEE ANNUAL AND FIVE-YEAR REPORT

City of Scotts Valley

For the Fiscal Year and Five Years Ending June 30, 2023

www.scottsvalley.gov

Contents

SUMMARY & BACKGROUND	2
REQUIREMENTS OF THE MITIGATION FEE ACT (AB1600)	3
ANNUAL REPORT	4
FUND 007 – STORM DRAINAGE FACILITIES FEE	4
FUND 008 – STREETS & THOROUGHFARES FEE	5
FUND 009 – PARKS & RECREATION FACILITIES FEE	6
FUND 012 – WASTEWATER TREATMENT FACILITIES FEE	7
FUND 021 – GENERAL FACILITIES & EQUIPMENT FEE.....	8
FUND 027 – LAW ENFORCEMENT FACILITIES & EQUIPMENT FEE	9
FUND 068 – LIBRARY FACILITIES FEE	10
FUND SUMMARY.....	11
FIVE-YEAR REPORTING REQUIREMENTS	12

SUMMARY & BACKGROUND

Development Impact Fees are fees imposed by local governments on new development projects to finance the acquisition, construction, and improvement of public facilities and infrastructure needed to serve those projects. California state law requires local agencies to prepare a report on the status of their Development Impact Fee (DIF) program on an annual basis and make additional findings every fifth year. This report meets the legal requirements for Fiscal Year (FY) 22-23 (July 1, 2022 through June 30, 2023) as well as the five-year reporting requirements.

The City of Scotts Valley (City) first established its DIF Program on January 16, 1991, with the adoption of Ordinance No. 143. The following impact fees were established and to be imposed on the issuance of all building permits for development within the City of Scotts Valley to finance the cost of the following categories of public facilities and improvements required by new development:

Developmental Impact Fee	Description	Fund
Storm Drainage Facilities	For payment of the actual or estimated costs of constructing and improving the storm drain facilities within the city, including any required acquisition of land.	007
Streets & Thoroughfares	For payment of the actual or estimated costs of the design, upgrading or improvement of the traffic network, including any required acquisition of land.	008
Parks & Recreation	For payment of the actual or estimated costs of constructing and improving the park and recreation facilities within the city, including any required acquisition of land, as well as grading, irrigation, and turfing costs associated therewith.	009
Wastewater Treatment Facilities	For payment of the actual or estimated costs of constructing and improving the sewage treatment facilities within the city, including any required acquisition of land.	012
General Facilities & Equipment	For payment of the actual or estimated costs of constructing and improving the general municipal facilities within the city, including any required acquisition of land.	021
Law Enforcement Facilities & Equipment	For payment of the actual or estimated costs of law enforcement facilities, equipment, and training, including any required acquisition of land.	027
Library Facilities	For payment of the actual or estimated costs of constructing and improving the library facilities within the city, including any required acquisition of land.	086

REQUIREMENTS OF THE MITIGATION FEE ACT (AB1600)

Assembly Bill (AB) 1600, commonly known as the Mitigation Fee Act, was enacted by the state of California in 1987 and created Section 66000 et. seq. of the Government Code and was amended by AB518 and Senate Bill (SB) 1693. AB1600 requires the city to report fee information annually and every fifth year. Within 180 days after the last day of each fiscal year, the City must make available the following information from the prior fiscal year:

1. Brief description of the type of fee in the account or fund.
2. Amount of the fee.
3. Beginning and ending balance in the account or fund.
4. Amount of fees collected, and the interest earned during the previous year.
5. Identification of each public improvement for which fees were expended and the amount of expenditures, including the total percentage of the cost of the public improvement that was funded with fees.
6. An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement and the public improvement remains incomplete.
7. Description of each interfund transfer or loan made from the account, including the public improvement on which the transferred or loaned fees will be expended, and when each loan will be repaid and the rate of interest the account will receive on the loan.
8. Identification of any refunds made once determined that sufficient monies have been collected to fund fee-related projects.

For the fifth fiscal year following the first deposit into the account or fund, and every five years thereafter, the City must make the following findings with respect to any remaining funds in the fee account, regardless of whether those funds are committed or uncommitted:

1. Identification of the purpose to which the fees are to be put.
2. Demonstrate a reasonable relationship between the fee and the purpose for which it is charged.
3. Identification of all sources and amounts of funding anticipated to complete financing in incomplete improvements identified as part of the City's annual report.
4. Identification of the approximate dates on which the funding referred to in Requirement 3 is expected to be deposited into the appropriate account or fund.

The City must make this information available for public review and must present it at the next regularly scheduled public meeting no less than 15 days after this information is made available to the public. This report is intended to satisfy the annual reporting requirements for FY 22-23 as well as the five-year report. The City previously completed a five-year report in FY 16-17.

ANNUAL REPORT

The following section provides information necessary to meet the annual reporting legal requirements for each impact fee fund. This includes a brief description of the fee, the amount of the fee, the beginning and ending balances, fee revenues collected, interest earned, and the expenditures on each project including the percentage that was funded with fees. It also includes a table summary of whether sufficient funds have been identified to complete future projects and the approximate date by which the construction of the public improvement will commence if sufficient funds have been identified. Any loans are also identified as well as any refunds from the account.

FUND 007 – STORM DRAINAGE FACILITIES FEE

This fee is established for payment of the actual or estimated costs of constructing and improving the storm drainage, including acquisition of land. It assures that each new development or expansion of use pays its fair share of the West Branch-Carbonera Creek, Carbonera Creek, Camp Evers Tributary, and Bean Creek improvements needed to accommodate the cumulative impacts related to capital costs. The fees are as follows:

Residential or commercial per impervious square foot

Carbonero Creek	\$	0.30
West Branch	\$	0.27
Camp Evers Tributary	\$	0.14
Bean Creek	\$	0.19

Sources and amounts of funding anticipated to complete financing of incomplete improvements:

Fund Balance at 7/1/2022		\$	76,090
Impact Fees Collected	\$	16,026	
Other Revenue/Transfers			
Interest Earned		2,052	
Total Source of Funds		\$	18,078
Administrative		(52)	
Total Expenses		\$	(52)
Fund Balance at 6/30/2023		\$	94,115

Anticipated Capital Projects

Project	Fiscal Year	Projected Cost
Storm Drain Master Plan Update	FY 2024/25	\$ 100,000

FUND 008 – STREETS & THOROUGHFARES FEE

This fee is established for payment of the actual or estimated costs of the design, upgrading or improvement of the traffic network, including any required acquisition of land. It assures that each new development or expansion of use pays its fair share of streets improvements needed to accommodate the cumulative impacts related to capital costs. The fees are as follows:

<u>Residential or Commercial per unit</u>	
Mountain (R-MT-5)	\$ 6,961.00
Rural (R-R-2.5)	\$ 6,961.00
Estate (R-1-40)	\$ 6,961.00
Low Density (R-1-20)	\$ 6,961.00
Single Family (R-1-10)	\$ 6,961.00
Two Family (R-M-6 & R-M-8)	\$ 4,131.00
Multiple Family (R-H)	\$ 4,131.00
Commercial (per sq of	\$ 13.84
Industrial (per sq of	\$ 8.25
Hotel (per room)	\$ 4,175.00

Sources and amounts of funding anticipated to complete financing of incomplete improvements:

Fund Balance at 7/1/2022		\$ 903,467
Impact Fees	\$ 102,677	
Other Revenue/Transfers		
Interest	22,595	
Total Revenue		\$ 125,272
Mt. Hermon Road Corridor Improvements	\$ (15,604)	
Administrative	(3,310)	
Total Expenses		\$ (18,914)
Fund Balance at 6/30/2023		\$ 1,009,825

Anticipated Capital Projects

<u>Project</u>	<u>Fiscal Year</u>	<u>Projected Cost</u>
Mt. Hermon Road Corridor Improvements	FY 2023/24	\$ 349,396
Active Transportation Plan Projects	Unscheduled	Under Development

FUND 009 – PARKS & RECREATION FACILITIES FEE

This fee is established for payment of the actual or estimated costs of constructing and improving the park facilities within the City, including acquisition of land. It assures that each new development or expansion of use pays its fair share of park development and acquisition needed to accommodate the cumulative impacts related to capital costs. The fees are as follows:

Residential per unit	
Mountain (R-MT-5)	\$ 12,363.00
Rural (R-R-2.5)	\$ 12,363.00
Estate (R-1-40)	\$ 12,363.00
Low Density (R-1-20)	\$ 12,363.00
Single Family Detached (R-1-10)	\$ 12,363.00
Single Family Attached (R-1-10)	\$ 9,566.00
Two Family (R-M-6 & R-M-8)	\$ 9,626.00
Multiple Family (R-H)	\$ 6,179.00
Mobile Homes and Second Unit	\$ 6,426.00

Sources and amounts of funding anticipated to complete financing of incomplete improvements:

Fund Balance at 7/1/2022		\$ 1,445,069
Impact Fees	\$ 150,393	
Other Revenue/Transfers		
Interest	36,770	
Total Revenue		\$ 187,163
Skypark Tennis Area	\$ (5,596)	
Parks System Master Plan	\$ (70,876)	
Administrative	(957)	
Total Expenses		\$ (77,428)
Fund Balance at 6/30/2023		\$ 1,554,805

Anticipated Capital Projects

Project	Fiscal Year	Projected Cost
Parks System Master Plan	FY 2023/24	\$ 106,070
Hocus Pocus Park Play Structure Equipment	FY 2025/26	\$ 520,000
Skypark Tennis Area Improvements	FY 2023/24	\$ 50,000
Al Shugart Park - Phase 1, 3, and 4 Construction	Unscheduled	Under Development

FUND 012 – WASTEWATER TREATMENT FACILITIES FEE

This fee is established for the actual or estimated costs of constructing or improving the sewage treatment facilities within the City, including any required acquisition of land. It assures that each new development or expansion of use pays its fair share of wastewater facility improvements needed to accommodate the cumulative impacts related to capital costs. The fees are as follows:

Residential per unit	
Mountain (R-MT-5)	\$ 7,385.00
Rural (R-R-2.5)	\$ 7,385.00
Estate (R-1-40)	\$ 7,385.00
Low Density (R-1-20)	\$ 7,385.00
Single Family (R-1-10)	\$ 7,385.00
Two Family (R-M-6 & R-M-8)	\$ 5,343.00
Multiple Family (R-H)	\$ 5,343.00
Commercial (per gallon, per day) (C-S, C-SC)	\$ 31.00
Industrial (per gallon, per day) (I-L, I-RD)	\$ 31.00

Sources and amounts of funding anticipated to complete financing of incomplete improvements:

Fund Balance at 7/1/2022		\$ 192,428
Impact Fees	\$ 126,707	
Other Revenue/Transfers		
Interest	14,700	
Total Revenue		\$ 141,407
Wastewater Aeration Basin Upgrades	\$ (15,768)	
Wastewater Treatment Plan Master Plan	\$ (38,518)	
Administrative	\$ (594)	
Total Expenses		\$ (54,879)
Fund Balance at 6/30/2023		\$ 278,957

Anticipated Capital Projects

Project	Fiscal Year	Projected Cost
Wastewater Treatment Plan Master Plan	FY 2023/24	\$ 135,973
Stormwater LID	FY 2025/26 & FY 2026/27	\$ 300,000
New Technology - Identified in WW Rate Study	FY 2026/27 & FY 2027/28	\$ 5,000,000

FUND 021 – GENERAL FACILITIES & EQUIPMENT FEE

This fee is established for payment of the actual or estimated costs of constructing or improving the general municipal facilities within the City, including any required acquisition of land. It assures that each new development or expansion of use pays its fair share of the corporation yard, renovation of Civic Center, City maintenance fleet expansion, and Scotts Valley Senior Center improvements needed to accommodate the cumulative impacts related to capital costs. The fees are as follows:

<u>Residential or Commercial per unit</u>		
Mountain (R-MT-5)	\$	529.00
Rural (R-R-2.5)	\$	529.00
Estate (R-1-40)	\$	529.00
Low Density (R-1-20)	\$	529.00
Single Family (R-1-10)	\$	529.00
Two Family (R-M-6 & R-M-8)	\$	529.00
Multiple Family (R-H)	\$	529.00
Commercial (per acre) (C-S, C-SC)	\$	1,395.00
Industrial (per acre) (I-L, I-RD)	\$	1,349.00

Sources and amounts of funding anticipated to complete financing of incomplete improvements:

Fund Balance at 7/1/2022		\$ 111,313
Impact Fees	\$ 11,782	
Other Revenue/Transfers		
Interest	2,789	
Total Revenue		\$ 14,571
Administrative	(72)	
Total Expenses		\$ (72)
Fund Balance at 6/30/2023		\$ 125,812

Anticipated Capital Projects

Project	Fiscal Year	Projected Cost
Building Improvements	Unscheduled	Under Development

FUND 027 – LAW ENFORCEMENT FACILITIES & EQUIPMENT FEE

The Law Enforcement Facilities & Equipment fee was established for payment of the actual or estimated costs of law enforcement facilities, equipment, and training, including any required acquisition of land. It assures that each new development or expansion of use pays its fair share of the construction of a new police facility, equipment, and training for additional officers and dispatchers, police fleet expansion, and records management upgrade needed to accommodate the

<u>Residential or Commercial per unit</u>	
Mountain (R-MT-5)	\$ 1,221.00
Rural (R-R-2.5)	\$ 1,221.00
Estate (R-1-40)	\$ 1,221.00
Low Density (R-1-20)	\$ 1,221.00
Single Family (R-1-10)	\$ 1,221.00
Two Family (R-M-6 & R-M-8)	\$ 1,221.00
Multiple Family (R-H)	\$ 1,221.00
Commercial (per acre) (C-S, C-SC)	\$ 28,041.00
Industrial (per Acre) (I-L, I-RD)	\$ 28,041.00

Sources and amounts of funding anticipated to complete financing of incomplete improvements:

Fund Balance at 7/1/2022		\$ 374,722
Impact Fees	\$ 27,201	
Other Revenue/Transfers		
Interest	8,977	
Total Revenue		\$ 36,178
Police Department Locker Room	\$ (12,446)	
Administrative	(235)	
Total Expenses		\$ (12,681)
Fund Balance at 6/30/2023		\$ 398,218

Anticipated Capital Projects

Project	Fiscal Year	Projected Cost
Police Station Locker Room	FY 2023/24	\$ 233,648
Police Station Armory	FY 2024/25	\$ 70,000
Universal Power Supply	FY 2023/24	\$ 49,975
Dispatch Center Upgrade	FY 2023/24	\$ 270,000

FUND 068 – LIBRARY FACILITIES FEE

This fee is established for payment of the actual or estimated costs of constructing and improving the library facilities within the City, including any required acquisition of land. It assures that each new development or expansion of use pays its fair share of a tier II library upgrade needed to accommodate the cumulative impacts related to capital costs. The fees are as follows:

<u>Residential per unit</u>	
Mountain (R-MT-5)	\$ 1,497.00
Rural (R-R-2.5)	\$ 1,405.00
Estate (R-1-40)	\$ 1,313.00
Low Density (R-1-20)	\$ 1,174.00
Single Family (R-1-10)	\$ 1,035.00
Two Family (R-M-6 & R-M-8)	\$ 1,035.00
Multiple Family (R-H)	\$ 899.00

Sources and amounts of funding anticipated to complete financing of incomplete improvements:

Fund Balance at 7/1/2022		\$ 399,275
Impact Fees	\$ 20,402	
Other Revenue/Transfers		
Interest	9,594	
Total Revenue		\$ 29,997
Library Improvements	\$ (247,856)	
Administrative	(251)	
Total Expenses		\$ (248,106)
Fund Balance at 6/30/2023		\$ 181,165

Anticipated Capital Projects

<u>Project</u>	<u>Fiscal Year</u>	<u>Projected Cost</u>
Building Improvements	Unscheduled	Under Development

FUND SUMMARY

The following table provides an accounting of each impact fee and a total impact fee account balance. The table summarizes that starting fund balance, the amount of fees collected, the interest earned, the total expenditures, and the fiscal year ending fund balance.



DEVELOPMENT IMPACT FEE FUND SUMMARY									
Description		Storm Drainage	Streets & Thoroughfares	Parks & Recreation	Wastewater Treatment	General Facilities & Equipment	Law Enforcement Facilities & Equipment	Library Facilities	
	Fund No.	007	008	009	012	021	027	086	
Starting Balance									
As of July 1, 2022	\$	76,090	\$ 903,467	\$ 1,445,069	\$ 192,428	\$ 111,313	\$ 374,722	\$ 399,275	
REVENUES									
Impact Fees	\$	16,026	\$ 102,677	\$ 150,393	\$ 126,707	\$ 11,782	\$ 27,201	\$ 20,402	
Grants	\$	-	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	
Other Revenue	\$	-	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	
Interest Earnings	\$	2,052	\$ 22,595	\$ 36,770	\$ 14,700	\$ 2,789	\$ 8,977	\$ 9,594	
Total Revenues	\$	18,078	\$ 125,272	\$ 187,163	\$ 141,407	\$ 14,571	\$ 36,178	\$ 29,997	
EXPENDITURES									
Project Expenditures	\$	-	\$ (15,604)	\$ (76,471)	\$ (54,285)	\$ -	\$ (12,446)	\$ (247,856)	
Administrative Expenditures	\$	(52)	\$ (3,310)	\$ (957)	\$ (594)	\$ (72)	\$ (235)	\$ (251)	
Total Expenditures	\$	(52)	\$ (18,914)	\$ (77,428)	\$ (54,879)	\$ (72)	\$ (12,681)	\$ (248,106)	
Transfers in	\$	-	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	
Transfers Out	\$	-	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	
Net Transfer	\$	-	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	
Ending Balance									
As of June 30, 2023	\$	94,115	\$ 1,009,825	\$ 1,554,805	\$ 278,957	\$ 125,812	\$ 398,218	\$ 181,165	

FIVE-YEAR REPORTING REQUIREMENTS

In accordance with Government Code Section 66001, this section addresses the five-year requirements with respect to any remaining funds in the DIF accounts, regardless of whether those funds are committed or uncommitted. The City last completed the Five-Year Report in FY 16-17. The following section provides information necessary to meet the legal requirements for the Five-Year report for the DIF funds.

The City's development impact fees set forth the relationship between new development, the needed public facilities and the estimated cost of them and the fact and evidence presented established that there is a reasonable relationship between the need for the described public facilities and the impacts of the types of development projects for which the fees are to be charged.

There exists a reasonable relationship between the fees' use and the type of development for which the fees are charged. The fees expected to be generated by new development will not exceed the total costs of constructing the facilities or portion of the facilities to which they are attributable and there is reasonable relationship between the amount of the fees and the cost of the facilities or portion of the facilities attributable to the development on which the fees are imposed.

Table 1 below summarizes the fund balance for each fund as of June 30, 2023, as well as the projected revenues and estimated costs of the future projects currently identified in the City's Capital Improvement Plan. The future project costs by fund are shown in further detail in Table 2. Improvements are triggered based on the timing and location of the development and improvements will be included in the City's Capital Improvement Plan as they are identified, and when funding becomes available.

Table 1 - DIF Fund Balances & Future Project Costs

Fund No.	Fund	Fund Balance at 06/30/2023	Projected Revenues ^[1]	Future Project Costs
007	Storm Drainage Facilities	\$ 94,115	\$ 13,445	\$ 100,000
008	Streets and Thoroughfares	\$ 1,009,825	\$ 199,983	\$ 349,396
009	Parks and Recreation Facilities	\$ 1,554,805	\$ 274,155	\$ 676,070
012	Wastewater Facilities	\$ 278,957	\$ 10,248	\$ 5,435,973
021	General Facilities and Equipment	\$ 125,812	\$ 16,326	\$ -
027	Law Enforcement Facilities and Equipment	\$ 398,218	\$ 41,845	\$ 623,623
086	Library Facility	\$ 181,165	\$ 34,172	\$ -
	Total	\$ 3,642,897	\$ 590,175	\$ 7,185,062

[1] Includes an assumed 1% interest earnings on fund balance

Table 2 - Future DIF Projects by Fund with Anticipated Construction Date

Fund No.	Project	Budget	DIF Portion	Estimated Construction Date
007	Storm Drain Master Plan Update	\$ 100,000	100%	FY 2024/25
008	Mt. Hermon Road Corridor Improvements	\$ 349,396	100%	FY 2023/24
009	Parks System Master Plan	\$ 106,070	100%	FY 2023/24
009	Hocus Pocus Park Play Structure Equipment	\$ 520,000	100%	FY 2025/26
009	Skypark Tennis Area Improvements	\$ 50,000	50%	FY 2023/24
009	Al Shugart Park - Phase 1, 3, and 4 Construction	TBD	TBD	TBD
012	Wastewater Treatment Plan Master Plan	\$ 135,973	50%	FY 2023/24
012	Stormwater LID	\$ 300,000	50%	FY 2025/26
012	New Technology - Identified in WW Rate Study	\$ 5,000,000	TBD	FY 2026/27
021	Building Improvements	TBD	TBD	TBD
027	Police Station Locker Room	\$ 233,648	100%	FY 2023/24
027	Police Station Armory	\$ 70,000	100%	FY 2024/25
027	Universal Power Supply	\$ 49,975	100%	FY 2023/24
027	Dispatch Center Upgrade	\$ 270,000	80%	FY 2023/24
086	Building Improvements	TBD	TBD	TBD
	Total	\$ 7,185,062		